The Money Basics Playbook

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The Money Basics Playbook

Budget, Save, Invest & Build Wealth for Beginners — an honest, jargon-free guide for young earners in India and around the world.

This book teaches fundamentals. It is not personalised financial advice. Laws, tax rules, interest rates and products change — always verify current figures with official sources or a licensed advisor before acting.

Chapter 1: Why Money Management Actually Matters

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The three accounts you must keep separate

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***KEY INSIGHT:** Money management is 20% knowledge and 80% systems. You don't need to be smart about money — you need to make the right thing easy and the wrong thing hard.*

Chapter 2: Compound Interest — The Only Superpower That Matters

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How it works, simply

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The flip side: debt compounds too

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> ***PRO TIP:** Start investing as early as possible, even with tiny amounts. A 22-year-old investing ¹2,000/month beats a 35-year-old investing ¹10,000/month by retirement — almost every time. Time in the market beats timing the market.*

Chapter 3: Your First Budget — The 50/30/20 Rule (Adapted)

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The classic 50/30/20 split

```
Category  |  % of take-home pay  |  Examples
**Needs (50%)**  |  Rent, food, utilities, transport, minimum debt payments  |  Can't skip these
**Wants (30%)**  |  Dining out, movies, subscriptions, shopping, travel  |  Enjoyable, negotiable
**Savings & debt payoff (20%)**  |  Emergency fund, investments, extra debt payments  |  Future-you's money
```

Reality check for young earners

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Worked example: ¹40,000/month salary (India)

```
Item  |  Amount ( ¹)  |  Notes
Take-home pay  |  40,000  |  After tax & deductions
Rent (shared)  |  12,000  |  30% — high but realistic
Food & groceries  |  6,000  |  Cooking mostly at home
Transport + phone  |  3,500  |  Metro pass, prepaid
Utilities  |  1,500  |  Electricity, internet share
**Needs subtotal**  |  **23,000 (57%)**  |  Slightly over 50% — acceptable
Wants (dining, fun, subscriptions)  |  9,000  |  22% — under 30%
Savings/investments  |  6,000  |  15% — good start; grow to 20%
Extra debt payment  |  2,000  |  Credit card or loan
```

Worked example: $3,000/month take-home (US)

```
Item  |  Amount ($)  |  Notes
Rent (shared)  |  900  |  30%
Food & groceries  |  500  |
Transport + phone  |  250  |
Utilities  |  100  |
**Needs subtotal**  |  **1,750 (58%)**  |
Wants  |  750  |  25%
Savings/investments  |  400  |  13% — grow to 20%
Debt payment  |  100  |  Minimum or extra
```

> ***WARNING:** Don't aim for perfection on day one. A budget you actually follow beats an "ideal" budget you abandon in week two. Start with tracking only (Chapter 4), then set targets.*

Chapter 4: Tracking Your Spending — Apps and Simple Systems

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The simplest system that works: the envelope mindset

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App options

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App  |  Best for  |  Cost
**Mint / Credit Karma (US)**  |  Automatic bank sync, free  |  Free
**YNAB (US)**  |  Zero-based budgeting, very popular  |  ~$14/mo
**Wallet / Money View (India)**  |  Simple manual tracking  |  Free / cheap
**Google Sheets template**  |  Full control, zero cost  |  Free
**Bank apps (India)**  |  Built-in expense tags, UPI history  |  Free
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Ready-to-use budget spreadsheet — step-by-step setup

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The 30-day challenge that makes budgets stick

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Automate what you can

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> ***PRO TIP:** Review spending monthly, not daily. Daily tracking creates anxiety; monthly review creates insight. Block 30 minutes on the first of each month.*

Chapter 5: The Emergency Fund — Your Financial Airbag

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How much do you need?

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Situation  |  Target
Stable salaried job, no dependents  |  3 months of essential expenses
Freelancer / commission / gig work  |  6 months
Sole earner with family dependents  |  6–12 months
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Where to keep it — safety first, not growth

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```
Option  |  India  |  US / International  |  Notes
Savings account  |  3–4% p.a.  |  4–5% APY (high-yield)  |  Instant access
Liquid / money market fund  |  ~6–7% p.a.  |  ~4–5%  |  T+1 or same-day redemption
Fixed deposit (FD)  |  6–7% p.a., but locked  |  CD (certificate of deposit)  |  Breakable but
loses interest
Sweep-in FD  |  Auto-links to savings  |  —  |  Good middle ground
```

> ***KEY INSIGHT:** An emergency fund isn't about returns — it's about sleeping at night. Earning 6% on it is a bonus; having it at all is the point.*

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Chapter 6: Debt Strategy — Good Debt vs. Bad Debt

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Bad debt (avoid or kill first)

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Good-ish debt (use carefully)

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> ***WARNING:** Even "good" debt becomes bad if the payment strangles your cash flow. A ¹60 lakh home loan you can't comfortably afford is a prison, not an asset.*

Two proven payoff methods

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```
Factor  |  Snowball  |  Avalanche
Order  |  Smallest balance !’ largest  |  Highest interest !’ lowest
Money saved  |  Less  |  **More**
Motivation  |  **High** — quick wins  |  Slower — can feel endless
Best for  |  People who need wins to stay motivated  |  People who want max savings
```

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The debt payoff formula

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> ***PRO TIP:** Call your credit card company and ask for a lower rate, or transfer the balance to a 0% introductory card. Many people never ask — and it works surprisingly often.*

Chapter 7: Saving Hacks That Actually Work

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Chapter 8: Investing Basics — Plain-English Dictionary

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What the words mean

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Term  |  Plain meaning
**Stock / share**  |  Owning a tiny piece of a company. Price goes up/down with the company's
fortunes.
**Mutual fund (India)**  |  A pool of money from many investors, managed by professionals,
invested across stocks/bonds.
**ETF / index fund**  |  A fund that tracks a market index (like Nifty 50 or S&P 500) — owns
everything in the index automatically. Cheap, simple, effective.
**SIP (India)**  |  Systematic Investment Plan — automatic monthly investment into a mutual fund.
The  ¹5,000/month habit made easy.
**Bond**  |  Lending money to a government or company for fixed interest. Safer, lower return.
**NPS / PPF / EPF (India)**  |  Government retirement & tax-saving schemes — explained in Chapter
10.
**401(k) / Roth IRA (US)**  |  Employer retirement accounts with tax advantages — Chapter 10.
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Why index funds beat stock-picking for beginners

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The three rules that matter most

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> ***KEY INSIGHT:** The goal of early investing isn't to get rich — it's to not be the person who wonders "what if I'd started 10 years earlier?" Start small. Start now. Increase when you can.*

Chapter 9: Choosing Your Investment Accounts — India & International

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India — the core trio

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Account  |  What it is  |  Tax benefit  |  Lock-in  |  Best for
**EPF (via employer)**  |  12% of salary auto-saved in govt retirement fund  |  Tax-free growth & withdrawal (under conditions)  |  Until retirement  |  Every salaried employee — free money if employer matches
**PPF**  |  15-year government savings scheme  |  EEE — deposit, growth, withdrawal all tax-free  |  15 years (partial withdrawal after 6)  |  Safe, long-term, tax-free growth (~7% p.a.)
**NPS**  |  National Pension System — market-linked retirement  |  Extra ¹50k tax deduction under 80CCD(1B)  |  Until 60  |  Retirement-focused, low-cost, flexible
**ELSS mutual funds**  |  Equity funds with 3-year lock-in  |  ¹1.5L deduction under 80C  |  3 years  |  Tax-saving + growth combo
**Regular mutual funds/SIPs**  |  Market-linked investments  |  LTCG tax on equity gains above ¹1.25L/yr  |  None  |  Core wealth building
```

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US & international — the core accounts

```
Account  |  What it is  |  Tax benefit  |  Best for
**401(k) / 403(b) / 457**  |  Employer retirement plan  |  Pre-tax contributions, tax-deferred growth; many employers match  |  Take the full employer match first — it's free money
**Roth IRA**  |  Individual retirement account  |  Post-tax in, **tax-free growth and withdrawal** in retirement  |  If you expect higher taxes later
**Traditional IRA**  |  Individual retirement account  |  Pre-tax in, taxed on withdrawal  |  If you want the deduction now
**HSA (US)**  |  Health savings account  |  Triple tax advantage: pre-tax in, tax-free growth, tax-free for medical  |  If eligible — the best account in the US
**Regular brokerage**  |  Invest any amount, anytime  |  Taxed on gains/dividends  |  Flexible investing outside retirement
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Order of operations (both regions)

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Chapter 10: Risk — Understanding It Honestly

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Types of risk you face

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Risk  |  What it means  |  Example
**Market risk**  |  Investments lose value in downturns  |  Stock market drops 20–40% in recessions
**Inflation risk**  |  Cash loses buying power  |  ¹10,000 under the mattress buys less every year
**Concentration risk**  |  Too much in one thing  |  All savings in one company's stock
**Liquidity risk**  |  Can't access money when needed  |  Money locked in a 5-year FD you can't break
**Sequence risk**  |  Bad timing near retirement  |  Market crash right when you need the money
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Risk tolerance = ability × willingness × time

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Match risk to timeline

```
Timeline  |  Appropriate risk level  |  Vehicle
< 1 year  |  Very low  |  Savings account, liquid fund
1–3 years  |  Low  |  Debt funds, short FDs
3–7 years  |  Moderate  |  Balanced funds, NPS, diversified portfolio
7+ years  |  Higher  |  Equity mutual funds, index funds, stocks
```

> ***WARNING:** The biggest investing risk for beginners isn't market crashes — it's panic-selling during one. A 30% drop feels catastrophic, but historically markets recover and reach new highs. Your emergency fund exists precisely so you never have to sell investments in a panic.*

Chapter 11: Crypto & Trading — Read This Before You YOLO

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Trading (stocks, options, forex, crypto)

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Crypto

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Red flags of investment scams (India + global)

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> ***WARNING:** If someone promises 2–3% monthly returns "risk-free," they are either lying or running a Ponzi scheme. There is no such thing as risk-free high returns.*

Chapter 12: Insurance Basics — Protect Before You Build

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Term life insurance (India & US)

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Health insurance

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Other insurance — mostly skip at your stage

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***KEY INSIGHT:** Insurance protects your wealth plan; it doesn't create wealth. Get term life + health right, then move on to investing.*

Chapter 13: Taxes for Beginners — Don't Fear the Form

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India — ITR basics

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US — self-employment basics

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***PRO TIP:** Set aside 25–30% of every freelance/bonus payment for taxes *the day you receive it*. Commingling tax money with spending money is the #1 freelancer mistake.*

Chapter 14: Money Psychology & Lifestyle Inflation

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How it happens

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Counter-tactics that work

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The hedonic treadmill

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> ***KEY INSIGHT:** Wealth = what you don't spend. The person who saves ¹5 lakh more is richer than the person with the nicer car — regardless of income.*

Chapter 15: Setting Financial Goals — A Simple Framework

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The SMART-money version

```
Goal  |  Bad version  |  Good version
Emergency fund  |  "Save for emergencies"  |  ¹75,000 in high-yield savings by March
Retirement  |  "Retire comfortably"  |  ¹5 crore by age 55 via  ¹10k/month SIP
Travel  |  "Go somewhere nice"  |  ¹1.5 lakh Europe trip fund by next June
Debt freedom  |  "Pay off debt"  |  Credit card cleared by December
```

Bucket your goals by timeline

```
Timeline  |  Goal examples  |  Where money lives
Now–1 yr  |  Emergency fund, vacation  |  Savings/liquid funds
1–5 yrs  |  Car, house down payment, wedding  |  Debt funds, NPS, balanced funds
5–15 yrs  |  Kids' education  |  Equity mutual funds
15+ yrs  |  Retirement  |  PPF, NPS, EPF, equity SIPs
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Reverse-engineer retirement (the big one)

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Chapter 16: Your 12-Month Money Plan

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Month  |  Focus  |  Actions
**1**  |  See your money  |  Track every expense for 30 days. Open separate savings account.
**2**  |  Build mini-fund  |  Save  ¹25k / $1,000 emergency buffer. Set up payday auto-transfer of
10%.
**3**  |  Attack bad debt  |  List all debts; avalanche payments on highest-rate debt.
**4**  |  Complete budget  |  Build real budget from month-1 data. Automate bill payments.
**5**  |  Insurance basics  |  Get term life quote; check health coverage; buy if needed.
**6**  |  First investments  |  Open brokerage/mutual fund account; start small index SIP ( ¹1k/$50).
**7**  |  Grow savings rate  |  Increase auto-transfer to 15%. Review subscriptions.
**8**  |  Tax setup  |  Organize documents; note ITR/1099 obligations; set aside tax money.
**9**  |  Mid-year review  |  Check net worth vs. January. Adjust budget. Cancel dead
subscriptions.
**10**  |  Debt sprint  |  Any bonus/extra !’ highest-interest debt. Pay off one debt fully if
possible.
**11**  |  Deepen investments  |  Add second fund or increase SIP. Review allocation vs. goals.
**12**  |  Annual reset  |  Full review: net worth, savings rate, goals. Set next year's targets.
```

> ***PRO TIP:** The plan works because each month builds on the last. Skipping month 1 (tracking) to jump to month 6 (investing) is like building a house without a foundation.*

Chapter 17: Your Money Dashboard — Tracking Net Worth

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What net worth is

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Assets (what you own)  |  Liabilities (what you owe)
Cash in accounts  |  Credit card balances
Emergency fund  |  Personal/education loans
Investments (mutual funds, stocks, retirement)  |  Home/car loan balances
Gold, property value  |  Any money borrowed from family/friends
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Why track it

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How to track it (15 minutes, quarterly)

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> ***PRO TIP:** Don't obsess over monthly net worth — investments fluctuate. Track quarterly or twice a year and focus on the long-term trend line.*

Chapter 18: Ten Money Mistakes Beginners Make (and How to Avoid Them)

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Chapter 19: Glossary of Money Terms

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Term  |  Meaning
**APY / p.a.**  |  Annual percentage yield / per annum — the yearly return rate
**Asset**  |  Anything that holds or grows value: cash, stocks, property, gold
**Basis points (bps)**  |  0.01% — used for interest rate changes (25 bps = 0.25%)
**Brokerage account**  |  Account to buy/sell investments (stocks, funds, ETFs)
**Compounding**  |  Earning returns on your returns — growth on growth
**Credit score**  |  Number (300–900 in India, 300–850 US) showing repayment reliability
**Diversification**  |  Spreading money across assets so no single failure hurts you
**Dividend**  |  Periodic payment some companies make to shareholders
**Expense ratio**  |  Annual fee a fund charges as % of your investment — lower is better
**FD / Fixed Deposit**  |  Bank deposit with locked term and fixed interest (India); CD in US
```

```
**Index fund / ETF**  |  Fund tracking a market index automatically
**Inflation**  |  General rise in prices; erodes purchasing power over time
**Liquidity**  |  How quickly an asset converts to cash without loss
**LTCG**  |  Long-term capital gains — profit on assets held over a threshold period
**Mutual fund**  |  Pooled investment managed by professionals (India-centric term)
**NPS**  |  National Pension System — India's government retirement scheme
**Net worth**  |  Total assets minus total liabilities
**Nominee**  |  Person who receives assets/benefits if you die — set one everywhere
**PPF**  |  Public Provident Fund — 15-year tax-free government savings scheme (India)
**Principal**  |  The original amount invested or borrowed (before interest)
**RBI repo rate**  |  India's central bank rate — affects loan and deposit rates
**SIP**  |  Systematic Investment Plan — automatic recurring mutual fund investment
**ULIP**  |  Unit-Linked Insurance Plan — insurance + investment combo; usually poor value
**UPI**  |  Unified Payments Interface — India's instant bank-transfer system
**Yield**  |  Return generated, usually expressed as a percentage
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Frequently Asked Questions

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Final Checklist — The Non-Negotiables

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